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# How does the Perceived Ethicality of Corporate Services Brands Influence Loyalty and Positive Word-of-Mouth? Analyzing the Roles of Empathy, Affective Commitment, and Perceived Quality

**Stefan Markovic[1] · Oriol Iglesias[1] · Jatinder Jit Singh[2] · Vicenta Sierra[3]**

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**Abstract** In the past few decades, a growth in ethical consumerism has led brands to increasingly develop conscientiousness and depict ethical image at a corporate level. However, most of the research studying business ethics in the field of corporate brand management is either conceptual or has been empirically conducted in relation to goods/products contexts. This is surprising because corporate brands are more relevant in services contexts, because of the distinct nature of services (i.e., intangible, heterogeneous, and inseparable) and the key role that employees have in the services sector (i.e., they can build or break the brand when interacting with customers). Accordingly, this article aims at empirically examining the effects of customer perceived ethicality in the context of corporate services brands. Based on data collected for eight service categories using a panel of 2179 customers, the hypothesized structural model is tested using path analysis. The results show that, in addition to a direct effect, customer perceived ethicality has a positive and indirect effect on customer loyalty, through the mediators of customer affective commitment and customer perceived quality. Further, employee empathy positively influences the impact of customer perceived ethicality on customer affective commitment, and customer loyalty positively impacts customer positive word-of-mouth. The first implication of these results is that corporate brand strategy needs to be aligned with human resources policies and practices if brands want to turn ethical strategies into employee behavior. Second, corporate brands should build more authentic communications grounded in their ethical beliefs and supported by evidence from actual employees.

**Keywords** Common method variance · Corporate services brands · Customer perceived ethicality · Employee empathy · Generalizability theory · Word-of-mouth

**List of Abbreviations**

| | |
|---|---|
| AVE | Average variance extracted |
| CAC | Customer affective commitment |
| CFA | Confirmatory factor analysis |
| CL | Customer loyalty |
| CMV | Common method variance |
| CPE | Customer perceived ethicality |
| CPQ | Customer perceived quality |
| CPWOM | Customer positive word-of-mouth |
| CR | Composite reliability |
| CSR | Corporate social responsibility |
| EE | Employee empathy |
| GC | Generalizability coefficient |
| G-theory | Generalizability theory |
| PLS | Partial least squares |

✉ Stefan Markovic
stefan.markovic@esade.edu

Oriol Iglesias
oriol.iglesias@esade.edu

Jatinder Jit Singh
jsingh@eada.edu

Vicenta Sierra
vicenta.sierra@esade.edu

[1] Department of Marketing, ESADE - Universitat Ramon Llull, Av. Torre Blanca, 59, 08172 Sant Cugat del Vallès (Barcelona), Spain

[2] Department of Marketing, Operations and Supply, EADA Business School, C. Aragó, 204, 08011 Barcelona, Spain

[3] Department of Operations, Innovation and Data Sciences, ESADE - Universitat Ramon Llull, Av. Torre Blanca, 59, 08172 Sant Cugat del Vallès (Barcelona), Spain

## Introduction

Companies that want to foster enduring, long-term relationships with their customers need to build strong corporate brands (Dall'Olmo Riley and de Chernatony 2000). This is especially relevant in the services sector, because services businesses generally entail a greater number of interactions with customers than goods businesses, due to the inseparability of their production and consumption processes (Grönroos 2006). Hence, the corporate services brands that want to deliver an outstanding customer experience need to carefully manage these interactions by addressing customer needs and expectations (Iglesias et al. 2013). Moreover, in an ever more interconnected and transparent world, customers are increasingly expecting brands to have ethical values (Carrigan and Attalla 2001; Shaw and Shiu 2002). Accordingly, strong corporate services brands must integrate ethics at the center of their business strategies (Morsing 2006; Rindell et al. 2011) and portray their ethical commitment during interactions with customers (Balmer 2001; Ind 1997; Rindell et al. 2011). In this regard, service employees are the ones primarily responsible for these interactions (Roper and Davies 2007), during which they can transmit an ethical brand image to customers if they are empathic enough. However, in spite of the relevance of corporate brands in the services sector and their need for a strong ethical reputation, there is still a lack of research at the intersection of these areas (Singh et al. 2012).

Brands have evolved from their original focus on product differentiation (e.g., Aaker 1996) to being conceived as relationship partners (Fournier 1998) that are especially important at the corporate level and in the area of services (Dall'Olmo Riley and de Chernatony 2000). In fact, according to the organic view of the brand (Iglesias et al. 2013), brands are built together with multiple stakeholders, and brand managers are just one of the contributors involved in this social process (Vallaster and von Wallpach 2013). According to a wide body of literature, these multiple stakeholders include customers, employees, investors, suppliers, and citizens (e.g., Davies et al. 2010; Morsing and Kristensen 2001; Schultz et al. 2005). However, among all these stakeholders, employees are the key ones, as they are capable of making or breaking the brand (Roper and Davies 2007) during their interactions with customers. The reason is that an emotional contagion between employees and customers is likely to occur during these interactions (Hatfield et al. 1994). The concept of emotional contagion was coined in social psychology (Gump and Kulik 1997) and implies that even by means of a minimal contact, attitudes and emotions can be transferred from one person to another, leaving a long-lasting trace in memory (Gump and Kulik 1997; Hatfield et al. 1994; Rozin and Royzman 2001). Accordingly, various scholars have shown that employees can actually pass along their positive emotions to customers (e.g., Howard and Gengler 2001; Pugh 2001; Verbeke 1997). Thus, employees need to adopt an empathic attitude and try to emanate positive emotions during their interactions with customers (Wieseke et al. 2012). This is especially relevant in services contexts, as the number of interactions that take place between employees and customers in such contexts is usually high (Grönroos 2006).

In parallel, in an ever more transparent and networked world (Lindfelt and Törnroos 2006), in which ethical consumerism is rapidly spreading, customers are increasingly expecting brands to have ethical values (Carrigan and Attalla 2001; Shaw and Shiu 2002). Accordingly, it has become critical for strong brands to portray their ethical and societal commitment when interacting with the customers (Balmer 2001; Ind 1997; Rindell et al. 2011). This has resulted in a growing body of literature on business ethics and corporate social responsibility (CSR hereafter) in recent decades. As business ethics and CSR are related in nature and objectives (see Brunk 2010a), scholars have often used the two terms interchangeably (Fan 2005) and studied the influences of CSR or ethical initiatives/practices on customer trust (Swaen and Chumpitaz 2008), purchase intentions or behaviors (Carrigan and Attalla 2001; Luchs et al. 2010; Sen and Bhattacharya 2001), financial performance and market value (Luo and Bhattacharya 2006), corporate evaluation (Brown and Dacin 1997; Sen and Bhattacharya 2001), and product evaluation (Brown and Dacin 1997).

Most of these previous studies on ethics and CSR have been conducted in the area of marketing, which concurs with Fan's (2005) claim that ethics are increasingly studied in the areas of marketing and business. However, there is still a lack of research on ethics in the area of branding (Fan 2005), although several authors have argued that ethics ought to be at the core of corporate brands (Morsing 2006; Rindell et al. 2011). This scant body of research includes just a few articles at the intersection of business ethics and corporate brands. For example, Rindell et al. (2011) conducted a study on "conscientious corporate brands" defining them as those brands that have ethical values integrated in the business strategy, vision, culture, and value chain. Hutchinson et al. (2013) empirically validated the model of "conscientious corporate brands" introduced by Rindell et al. (2011), which contains the dimensions of internal codes of ethics, external codes of ethics, environmental impact, and climate change.

These studies at the intersection of business ethics and corporate brands are either conceptual (e.g., Brunk 2010b; Fan 2005; Gustafsson 2005) or have been empirically developed in relation to the area of products/goods (e.g., Brunk 2010a; Hutchinson et al. 2013; Rindell et al. 2011). However, there is very little research at the intersection of business ethics and corporate brands in the area of services (Singh et al. 2012). This is unexpected because, due to the distinct nature of services, corporate brands are more important in services contexts than in the field of products/goods (Dall'Olmo Riley and de Chernatony 2000; Iglesias et al. 2013; Sierra et al. 2015). Unlike with products/goods, the nature of services is intangible, heterogeneous, and inseparable (e.g., Berry 1983; Zeithaml et al. 1985). First, the intangibility and heterogeneity of services make it difficult to standardize service quality (Berry 1980; Booms and Bitner 1981), whereas brands operating in the field of products/goods can supply standardized offerings. Second, the inseparability of the production and consumption processes of services makes the employee–customer interactions more numerous in the services sector than in the field of products/goods (Grönroos 2006), which emphasizes the extra effort that managers and employees of corporate services brands need to put forth in order to deliver an outstanding customer experience and generate customer loyalty to the brand (Iglesias et al. 2013; Singh et al. 2012).

Considering this more challenging nature of services, this paper aims at contributing to the under-researched intersection of business ethics and corporate services brands by examining the indirect effect of customer perceived ethicality of a corporate services brand on customer loyalty, considering the mediating variables of customer affective commitment and customer perceived quality. Moreover, in light of the above-justified importance of employees in corporate services brands, this research also examines employee empathy as a moderator of the impact of customer perceived ethicality on both customer affective commitment and customer perceived quality. In the following sections, first the theoretical framework and the hypotheses are developed. Thereafter, the research methodology, data analysis, and results are presented. Finally, the theoretical contributions, managerial implications, limitations, and future research lines are discussed.

## Theoretical Framework and Hypotheses Development

### Customer Perceived Ethicality and Customer Affective Commitment

Ethical branding represents the intersection of the fields of business ethics and brand management. An ethical brand is characterized as one that acts with integrity, responsibility, honesty, respect, and accountability toward a wide variety of stakeholders (Fan 2005). In fact, scholars have repeatedly proposed that it is in the best interest of any brand to be perceived as ethical (Story and Hess 2010), as in the current environment customers increasingly value that brands address their ethical concerns (Maxfield 2008). Correspondingly, recent research has presented the term of "consumer perceived ethicality" (Brunk 2010a), conceptualizing it as the "consumers' aggregate perception of a subject's (i.e., a company, brand, product, or service) morality" (Brunk and Blümelhuber 2011, p. 134). This aggregate perception can be influenced by the environment, the employees, other consumers, the local community and economy, the business community, and the overseas community (Brunk 2010a, b).

Regarding the conceptual framework of "consumer perceived ethicality" (Brunk 2010a, b; Brunk and Blümelhuber 2011), some researchers have acknowledged that the consumer's attitude toward the brand's/company's ethical behavior has an affective dimension (e.g., Shea 2010; Singh et al. 2012). Namely, when consumers associate the organizational ethical behaviors with a set of their personal values, they are likely not only to feel identified with the organization, but also to develop commitment toward it (Currás 2009; Lichtenstein et al. 2004). Accordingly, multiple scholars have shown that CSR perceptions are positively related to organizational commitment (e.g., Brammer et al. 2007; Lacey and Kennett-Hensel 2010; Turker 2009). Similarly, Peterson (2004) provided evidence for corporate citizenship's positive impact on organizational commitment. Developing commitment is important for organizations, because committed customers become less sensitive to price differences in relation to competitors, being willing to pay more for the relational aspect of the brand/organization (Bloemer and Odekeren-Schroder 2003; Hess and Story 2005). Moreover, committed customers are likely to assign service failures to external factors or even to themselves, thereby becoming less sensitive to poor brand/organizational performance (e.g., Story and Hess 2010).

Meyer and Allen (1991) proposed three types of organizational commitment (i.e., affective, continuance, and normative), among which affective commitment is the most strongly related to CSR, in light of the social identity theory (Turker 2009). Affective commitment is an emotional response that derives from customer identification with and attachment to a brand (Fullerton 2005). Customers are more likely to develop affective commitment toward a brand when they perceive that such a brand acts in an ethical fashion toward a wide set of stakeholders (Singh et al. 2012). Accordingly, in the context of goods/product brands, Singh et al. (2012) found that customer perceived ethicality of a brand has a positive effect on customer affective commitment toward that brand. Similarly, in the area of banking, Poolthong and Mandhachitara (2009) provided evidence for a positive impact of CSR on brand affect, and Chomvilailuk and Butcher (2014) showed a positive influence of perceived CSR performance on customer affective commitment. In line with these previous findings, we postulate that:

**H1** Customer perceived ethicality of a corporate services brand will have a positive impact on customer affective commitment toward the brand.

### Customer Perceived Ethicality and Customer Perceived Quality

Apart from studying the role of the relational construct of customer affective commitment toward brands/companies, scholars have also extensively examined customer perceptions of service quality (Parasuraman et al. 1985, 1988; Zeithaml et al. 1996). In the current socioeconomic environment, service quality is a key driver of business performance (Lin et al. 2009), as it can help brands/companies achieve competitive advantage (Iacobucci et al. 1994). Apart from being linked with competitive advantage, service quality has also been associated with other concepts related to business performance, such as costs (Crosby 1979), customer satisfaction (Spreng et al. 1996), financial performance (Buzzell and Gale 1987), and customer retention (Reichheld and Sasser 1990).

This relevance of service quality in determining business performance has resulted in the development of a school of thought on service quality (e.g., Grönroos 1990; Parasuraman et al. 1985, 1988; Reeves and Bednar 1994). Accordingly, service quality has been widely conceptualized as the customer's overall evaluations of the superiority or excellence of the service provided by a brand/company compared to competing offerings (e.g., Bateson and Hoffman, 2002; Parasuraman et al. 1985, 1988; Zeithaml 1988). Parasuraman et al. (1985, 1988) defined these customer evaluations as the gap between their previous expectations and their posterior perceptions regarding the service performance level. These customer evaluations are likely to be influenced by customer perceptions of the brand/company as behaving in socially responsible and ethical manner (Brown and Dacin 1997).

Understanding social responsibility as a part of the company's ethical behavior, Sureschchandar et al. (2001, 2002) suggested that social responsibility is a component of service quality. Moreover, Sureschchandar et al. (2001, 2002) argued that the perception of the company's ethical behavior transmits trust to customers and therefore influences customer evaluations regarding the service quality received from the company. Similarly, Kim et al. (2010) found that ethical consumption values positively impact customers' overall evaluation of the company, and García de los Salmones et al. (2005) empirically showed that the perception of the company's socially responsible behaviors has a positive effect on customers' overall valuation of the service received from the company.

Apart from relating the company's ethical and socially responsible behaviors to customer evaluations of the service/company, researchers from different fields have related these types of behaviors to customer perceptions of service quality. Accordingly, in the banking services industry, several scholars have provided empirical evidence for a positive impact of CSR initiatives on perceived service quality (e.g., Khan et al. 2015; Mandhachitara and Poolthong 2011; Poolthong and Mandhachitara 2009). Likewise, in the cosmetics and sportswear industries, Swaen and Chumpitaz (2008) found that customer perceptions of the company as engaging in CSR activities positively influenced their perceptions of the quality of the products or services that the company offers. In this line, in the tourism industry, Holjevac (2008) proposed that the lack of social responsibility and ethics is a key driver of a poor service quality. In accordance with this discussion, we hypothesize that:

**H2** Customer perceived ethicality of a corporate services brand will have a positive impact on customer perceived quality of the service offered by the brand.

### The Moderating Role of Employee Empathy

In the relationship literature, empathy is a key variable, because it is indispensable for mutual understanding between individuals (Davis 1996; Kenny and Albright 1987). More specifically, in services literature, empathy is an important determinant of successful employee–customer interactions (e.g., Aggarwal et al. 2005; Giacobbe et al. 2006). That is the reason why several scholars have suggested that empathy is a fundamental skill for salespeople/employees (e.g., Ahearne et al. 2007; Beatty et al. 1996; Pilling and Eroglu 1994).

Empathy can be defined as the ability to identify, understand, and react to another person's thoughts, feelings, intentions, experiences, and/or perspectives (e.g., Barrett-Lennard 1981; Goldstein and Michaels 1985; McBane 1995; Pilling and Eroglu 1994). This definition suggests that empathy comprises both a cognitive and an emotional dimension (Duan and Hill 1996). On one hand, from a cognitive perspective (Homburg et al. 2009; McBane 1995) empathy is defined as the capacity to understand other people's thoughts, intentions, and perspectives (Barrett-Lennard 1981; Goldstein and Michaels 1985; McBane 1995). Multiple scholars have argued that those employees with high levels of cognitive empathy are more likely to understand customer needs (e.g., Dawson et al. 1992;

Homburg et al. 2009; von Bergen and Shealy 1982). On the other hand, from an emotional perspective, empathy is conceptualized as the ability to engage in helping behaviors, which are characterized by interpersonal concern and emotional contagion (Coke et al. 1978; McBane 1995). Accordingly, several researchers have linked empathy with ethical and pro-social behaviors, arguing that empathy evokes the motivation to help others (Agnihotri and Krush 2015; Bagozzi and Moore 1994; Batson and Shaw 1991). In a parallel way, scholars have suggested that customers value being treated in a helpful manner by the brand's/company's employees (Westbrook 1981).

Burmann and Zeplin (2005) argued that employee empathy toward customers is considered to be a helping behavior, which is a dimension of brand citizenship behavior. Brand citizenship behavior has been strongly identified with CSR and other types of corporate ethical behaviors (e.g., Valor 2005). Moreover, empathy has often been associated not only with interpersonal concern, but also with mutual support and welfare (e.g., Ahearne et al. 2007). In fact, Tax et al. (1998) proposed that empathy is the most salient component of customer–employee interactional justice, together with courtesy. Similarly, Berry et al. (1994) argued that the higher the level of empathy present during the process of service delivery, the more customers perceive the service as just and fair. Apart from being recurrently linked with CSR, just, fair, and other types of ethical behaviors, employee empathy has also been related to both the customer affective commitment toward the brand/company and the customer perceived quality of the service offered by the brand/company.

On one hand, researchers have found that the customer orientation of service employees is likely to increase customer emotional/affective commitment toward the services brand/company (e.g., Hennig-Thurau 2004). When interacting with service employees, customers can have different types of emotions, such as anger, worry, pleasure, or joy (Machleit and Eroglu 2000; Menon and Dubé 2000). Customers are more likely to develop positive emotions toward the brand/company when they perceive that the employees behave in an empathic manner (Lee et al. 2011). In fact, the development of empathy in all employee–customer relationships is important, because customers who have positive emotions tend to create emotional/affective bonds and relationships with the brand's/company's employees (Reynolds and Beatty 1999). Accordingly, Lee et al. (2011) found a direct impact of employee empathy on customer positive emotions, and an indirect influence of these positive emotions on relationship intention, mediated by relationship satisfaction. Similarly, Hennig-Thurau (2004) suggested that the development of familiarity and affinity with the customers is likely to increase customer emotional commitment toward the service provider. Finally, Daniels et al. (2014) provided empirical evidence for a direct influence of perceived empathy on positive affect.

On the other hand, various scholars have shown that the customer orientation of the service employees is likely to increase customer satisfaction (e.g., Hennig-Thurau 2004; Stock and Hoyer 2005) that is largely influenced by customer perceptions of service quality (e.g., Bernardo et al. 2013; Bloemer et al. 1998; Ha and John 2010; He and Li 2011). This customer orientation of service employees inevitably entails the development of employee empathy toward customers, which is crucial for understanding customer needs (e.g., Giacobbe et al. 2006; Stock and Hoyer 2005). Accordingly, researchers suggested that as empathic employees better understand the needs of customers, they are more able to personalize service to each customer (Giacobbe et al. 2006; Jones and Shandiz 2015).Thus, employee ability to understand and address the needs of each customer is vital for the delivery of service quality (Parker and Axtell 2001; Puccinelli et al. 2013). When customers perceive employees as behaving in an empathic fashion (i.e., understanding and addressing their needs), they are more likely to evaluate employee performance positively (Wieseke et al. 2012), which significantly influences service quality (Hartline and Jones 1996). Accordingly, several authors have proposed that empathy plays an important role in defining the customer service experience and therefore helps customers evaluate service quality (e.g., Rust and Oliver 1994; Parasuraman et al. 1985, 1988). Finally, empathy has also been widely acknowledged as a component or dimension of service quality (e.g., Jones and Shandiz 2015; Kassim and Bojei 2002; Orwig et al. 1997; Yieh et al. 2007).

Although various authors have chosen to use the construct of employee empathy as a moderator in their studies (e.g., Homburg and Stock 2005; Stock and Hoyer 2005), there is a lack of previous research examining employee empathy as a moderator of the impact of customer perceived ethicality on either customer affective commitment or customer perceived quality. Thus, aiming to bridge the subsequent research gap, and in line with the above-discussed previous research that studied empathy in relation to ethical behaviors (e.g., Agnihotri and Krush 2015), affective commitment (e.g., Daniels et al. 2014), and service quality (e.g., Parasuraman et al. 1985, 1988), we intend to empirically examine the following two moderating effects:

**H3** In a corporate services brand context, the higher the employee empathy, the stronger the impact of customer perceived ethicality of the brand on customer affective commitment toward the brand will be.

**H4** In a corporate services brand context, the higher the employee empathy, the stronger the impact of customer perceived ethicality of the brand on customer perceived quality of the service offered by the brand will be.

### Customer Affective Commitment and Customer Loyalty

In the discipline of branding, loyalty has traditionally been conceptualized as the customer's strong commitment to repurchase a product or service of a brand, in spite of any contextual influences or marketing efforts of the competing brands (e.g., Oliver 1997). Accordingly, Gundlach et al. (1995) proposed that the customer's positive affect toward a particular brand is likely to prevent the search for alternatives, subsequently favoring brand loyalty. This initial understanding of loyalty as a continuous act of repurchase of a brand's offerings constitutes its behavioral dimension (McConnell 1968). More recently, however, authors have started to recognize the attitudinal dimension of loyalty as well (e.g., Kumar and Advani 2005). Accordingly, it is currently acknowledged that loyalty entails the customer's willingness to maintain long-term affective relationships with the brand (e.g., Chaudhuri and Holbrook 2001). Morgan and Hunt (1994) found a direct negative influence of such relationship commitment on propensity to leave. Similarly, Hennig-Thurau (2004) showed that the emotional commitment that customers develop toward a service provider and its employees has a positive impact on customer retention.

Multiple scholars from different fields have conducted empirical research relating affective commitment to loyalty. In the business-to-business field, Davis-Sramek et al. (2009) showed a positive and direct impact of affective commitment on loyalty behavior, and Čater and Čater (2010) found a positive and direct influence of affective commitment on both attitudinal and behavioral loyalty. Similarly, in the area of goods/product brands, Iglesias et al. (2011) provided empirical evidence for a direct and positive effect of affective commitment on brand loyalty, and Kim et al. (2008) found that brand commitment is a positive antecedent of brand loyalty. In the same area, Aurier and Séré de Lanauze (2012) showed that affective commitment positively influences attitudinal loyalty, and Chaudhuri and Holbrook (2001) found that brand affect has a positive effect not only on attitudinal, but also on behavioral loyalty.

However, the relationship between affective commitment and loyalty has been mainly researched in the area of services. For example, in a study on organizational citizenship behavior in a services context, Yang (2012) provided empirical evidence for a positive and direct impact of affective commitment on loyalty. In the same vein, in a higher education services setting, Bowden (2011) found that affective commitment has a strong and direct effect on customer loyalty. Likewise, in a study on service relationships, Evanschitzky et al. (2006) showed a positive influence of affective commitment on both attitudinal and behavioral loyalty. Finally, in an online services context, Ranganathan et al. (2013) provided empirical evidence for a direct impact of customer affective commitment on customer affective loyalty, and Rafiq et al. (2013) found a positive and strong effect of customer e-affective commitment on customer e-loyalty. In line with this discussion, we postulate that:

**H5** Customer affective commitment toward a corporate services brand will have a positive impact on customer loyalty to the brand.

### Customer Perceived Quality and Customer Loyalty

Academics have not only related affective commitment to loyalty, but they have also examined perceived service quality as an antecedent of loyalty (e.g., Chen and Hu 2013; Dick and Basu 1994). The relationship between perceived service quality and loyalty has often been studied through their related concepts. On one hand, understanding perceived service quality as the customer's overall evaluations of service superiority or excellence (e.g., Bateson and Hoffman 2002; Parasuraman et al. 1985, 1988; Zeithaml 1988), in the mobile telephone services industry, García de los Salmones et al. (2005) provided empirical evidence for a direct and positive impact of the overall valuation of service on customer loyalty toward the company. Similarly, in a setting of fair trade brands, Kim et al. (2010) showed a direct effect of customer overall evaluations on brand loyalty. On the other hand, considering loyalty as a dimension of behavioral intentions, in a multi-company empirical study, Zeithaml et al. (1996) found that service quality is positively related to favorable behavioral intentions. Likewise, various researchers provided empirical evidence for an influence of service quality on behavioral intentions (e.g., Baker and Crompton 2000; Cronin et al. 2000; Lee et al. 2004, 2007).

Nevertheless, there is also a great deal of literature directly studying the relationship between service quality and loyalty, especially in the area of services. Accordingly, in the airline services industry, Chen and Hu (2013) showed that service quality is a positive and direct antecedent of customer loyalty. Similarly, in the travel industry, Lee et al. (2004) provided empirical evidence for a direct impact of service quality on behavioral loyalty, and Bernardo et al. (2013) found a positive and indirect influence of e-service quality on customer loyalty, mediated by customer satisfaction. Likewise, in the banking services area, multiple scholars showed a positive and direct effect of service quality on loyalty (e.g., Bloemer et al. 1998; Correia 2014; Mandhachitara and Poolthong 2011), and Bloemer et al. (1998) also found an indirect impact of service quality on loyalty, through the mediator of satisfaction. Similarly, in the context of retail banking and discount store retail services, Ha and John (2010) provided empirical evidence for a direct effect of perceived quality on brand loyalty, as well as for an indirect one, considering the mediating variable of satisfaction.

In the mobile telecommunication services industry, Aydin and Özer (2005) found a direct influence of perceived service quality on customer loyalty. In the context of international consultancy, Li and Zheng (2013) provided empirical evidence for a positive and direct effect of service quality on both attitudinal and behavioral loyalty. Finally, in the higher education sector, Casidy (2014) showed a positive and direct impact of service quality on loyalty. In line with these numerous and consistent findings from the area of services, we hypothesize that:

**H6** Customer perceived quality of the service offered by a corporate services brand will have a positive impact on customer loyalty to the brand.

### Customer Perceived Quality and Customer Affective Commitment

Perceived service quality, however, has not only been related to attitudinal and/or behavioral customer outcome variables (e.g., loyalty). Instead, scholars have proposed that it also has an impact on relational customer outcomes, such as affective commitment. Correspondingly, in relationship marketing literature, Gruen et al. (2000) suggested that affective commitment is positively influenced by core service performance, which has to do with the quality of the service delivered by the company. As a relational variable, affective commitment has also been extensively studied in the area of services. Accordingly, in the banking services sector, various researchers showed a positive impact of perceived service quality on affective commitment or brand affect (e.g., Chomvilailuk and Butcher 2010, 2014; Poolthong and Mandhachitara 2009), although Marinkovic and Obradovic (2015) did not find empirical evidence to support such an impact. Likewise, in a study conducted along three services settings (i.e., telecommunications services, financial services, and retail-grocery services), Fullerton (2005) found that service quality is positively related to customer affective commitment.

Affective commitment has also been studied in the business-to-business field, as it involves a great deal of interactions and relationships between buying and selling firms (Webster and Keller 2004). In this field, Davis-Sramek et al. (2009) empirically showed a direct effect of relational service quality on affective commitment, as well as an indirect effect of both technical service quality and relational service quality on affective commitment, mediated by satisfaction. Similarly, in a study on global and local brands, Xie et al. (2015) provided empirical evidence for a positive influence of brand quality on brand affect. Likewise, in an online environment, Hsiao et al. (2015) found that e-service quality has a positive effect on customer brand commitment, and Ranganathan et al. (2013) showed that e-service quality positively impacts customer affective commitment. Finally, in the advertising sector, Venetis and Ghauri (2004) provided strong empirical evidence for a direct and positive influence of perceived service quality on client affective commitment. In accordance with this discussion, we postulate that:

**H7** Customer perceived quality of the service offered by a corporate services brand will have a positive impact on customer affective commitment toward the brand.

### Customer Perceived Ethicality and Customer Loyalty

In literature, CSR and other types of ethical initiatives/practices have often been related to customer attitudinal and/or behavioral outcome variables, such as loyalty (e.g., Maignan and Ferrell 2001; Sureschchandar et al. 2001, 2002). Accordingly, Ross et al. (1992) suggested that customers are more willing to buy products/services from brands/companies that actively contribute to social causes. These brands/companies that contribute to social causes and care about the welfare of communities can be cataloged as proactive corporate citizens (Maignan et al. 1999). In an empirical study based on perceptions of marketing executives, Maignan et al. (1999) found a positive impact of proactive corporate citizenship on customer loyalty. In the same line, in an empirical study containing multiple brands from different sectors, Schmalz and Orth (2012) showed that purchase intentions are lower when customers have both strong brand attachment and judgments of unethical firm behavior.

In a context of State enterprises in Taiwan, Lin et al. (2011) provided empirical evidence for an indirect effect of customer perceived CSR of the firm on customer purchase intentions, mediated by customer trust. Likewise, in the banking sector, Pérez and Rodríguez del Bosque (2015) found an indirect influence of perceptions of customer-centric CSR activities on customer repurchase behaviors, mediated by customer–company identification and satisfaction. In the same sector, Khan et al. (2015) provided empirical evidence for a positive effect of CSR perceptions on repurchase intentions, and Mandhachitara and Poolthong (2011) empirically showed a positive impact of CSR initiatives on customer loyalty. Similarly, in the mobile telecommunications industry, García de los Salmones et al. (2005) empirically found an indirect effect of CSR on customer loyalty, mediated by customers' overall valuation of service. In the same industry, He and Li (2011) showed an indirect influence of CSR on services brand loyalty, through the mediator of customer satisfaction.

Understanding CSR as a crucial indicator of customer perceived ethicality (Brunk 2010a, 2012), in the context of goods/product brands, Singh et al. (2012) found an indirect and positive impact of customer perceived ethicality of a brand on customer loyalty. In the same vein, in a financial institutions setting, Valenzuela et al. (2010) showed that customer perceived ethicality of a firm is positively related to customer loyalty. Finally, in the cosmetics industry, He and Lai (2014) provided empirical evidence for an indirect influence of customer perceived ethical responsibilities of brands on customer loyalty. In line with these multiple and consistent findings, mainly from the services sector, we hypothesize that:

**H8** Customer perceived ethicality of a corporate services brand will have a positive impact on customer loyalty to the brand.

### Customer Loyalty and Customer Positive Word-of-Mouth

Normally, when customers are loyal to a brand/company, they are likely to transmit their positive feelings toward such a brand/company to other people. The construct of word-of-mouth encompasses these informal conversations about the brand/company and/or its products or services (e.g., Silverman 1997; Westbrook 1987). Scholars have repeatedly proposed that word-of-mouth is especially relevant in the area of services (Silverman 1997; Sweeney et al. 2008), because services entail a high degree of perceived (purchase) risk due to their intangibility (Choudhury 2014; Eiglier and Langeard 1977). Moreover, services are difficult to evaluate before they are used, due to their experiential nature (Choudhury 2014). This experiential nature of services implies many customer–employee interactions and relationships, which are likely to enhance the involvement of customers in word-of-mouth communications (Gremler et al. 2001). When customers evaluate the quality of their relationship with the service employees as positive, they are likely to become advocates of the firm, thereby engaging in positive word-of-mouth (Griffin 2002; Reynolds and Beatty 1999).

Due to the importance of customer–employee relationships in the area of services, scholars have recurrently related customer attitudinal and/or behavioral constructs that reflect the quality of these relationships (e.g., loyalty) to word-of-mouth communications. Accordingly, researchers proposed that loyal customers are more likely to engage in positive word-of-mouth (e.g., Dick and Basu 1994; Hagel and Armstrong 1997; Selnes 1993). From an empirical standpoint, in an online setting, various academics showed that e-loyalty is a positive antecedent of positive word-of-mouth (e.g., Hsu et al. 2013; Srinivasan et al. 2002). In the same line, and also in an online setting, Yeh and Choi (2011) found a positive effect of brand loyalty on members' intention to pass along favorable information.

In an empirical study conducted in Greece, Gounaris and Stathakopoulos (2004) showed that loyalty is positively related to word-of-mouth recommendations. Likewise, in a financial institution context, Chen and Jaramillo (2014) provided empirical evidence for a positive impact of loyalty to the service provider on word-of-mouth. Similarly, in the banking industry, Khan et al. (2015) found a direct and positive effect of repurchase intentions on word-of-mouth intentions. Considering repurchase intentions as behavioral loyalty, in a mobile telecom services setting, Roy (2013) provided empirical evidence for a positive and direct influence of behavioral loyalty on positive word-of-mouth. In the higher education sector, Casidy and Wymer (2015) showed that loyalty mediates the impact of satisfaction on positive word-of-mouth. Finally, in an empirical study involving multiple service categories (i.e., restaurants, financial services, cable services, lodging services, airline services, and retailer services), Choi and Choi (2014) found that customer loyalty positively influences word-of-mouth intention. In accordance with these previous findings, which predominantly pertain to the area of services, we postulate that:

**H9** Customer loyalty to a corporate services brand will have a positive impact on customer positive word-of-mouth regarding the brand.

## Methodology

### Survey and Measures

The survey was designed taking into consideration constructs that were measured using and adapting existing scale items in the literature (see Table 1). The responses were rated through a seven-point Likert scale, ranging from "completely disagree" to "completely agree." A double-blind back-translation process was applied to the survey, in order to translate the items into Spanish.

A double pre-test regarding the survey was also conducted. First, various experts from the fields of business ethics and brand management were asked to evaluate the questions, as well as the way in which these questions were posed, in order to avoid potential respondent misinterpretations. Second, a group of target respondents were asked to assess the comprehension level of the survey.

**Table 1** Constructs and items used in the survey

| Constructs | Items | Reference(s) |
|---|---|---|
| CPE | The brand is a socially responsible brand | Brunk (2012) |
| | The brand seems to make an effort to create new jobs | Walsh and Beatty (2007) |
| | The brand seems to be environmentally responsible | |
| | The brand appears to support good causes | |
| | The brand contributes to the society | |
| | The brand is more beneficial for the welfare of the society than other brands | |
| CAC | I enjoy being a customer of the brand | Mende and Bolton (2011) |
| | I have positive feelings about the brand | |
| | I feel attached to the brand | |
| CPQ | Overall, I have received high-quality service from the brand | Hightower et al. (2002) |
| | Generally, the service provided by the brand is excellent | |
| | I think the service provided by the brand is superior in all aspects | |
| EE | The brand employees give customers individual attention | Parasuraman et al. (1994) |
| | The brand employees deal with customers in a caring fashion | |
| | The brand employees have the customer best interest at heart | |
| | The brand employees understand the needs of their customers | |
| CL | I consider the brand my first choice when I purchase the services they supply | Dagger et al. (2011) |
| | I am willing to maintain my relationship with the brand | |
| | I am loyal to the brand | |
| CPWOM | I say positive things about the brand to other people | Dagger et al. (2011) |
| | I recommend the brand to someone who seeks my advice | |
| | I encourage friends and relatives to do business with the brand | |

### Data Collection and Sample

The data collection was conducted in Spain, using an online customer panel, for the following eight service categories: financial institutions, clothing retail chains, insurance companies, internet and telephone service providers, hypermarket and supermarket chains, gas stations, utility companies, and hotel chains. Respondents were chosen using multiple filtering questions regarding their involvement in the purchase of services pertaining to these categories. This resulted in a sample of 2179 customers with the following characteristics: age range from 18 to 65, median age of 35, and 50.1 % females. The distribution of this sample across the aforementioned eight service categories that are part of this study is presented in Table 2.

## Data Analysis and Results

To simultaneously test the relationships present in the hypothesized model (see Fig. 1), we conducted the non-parametric structural equation modeling technique via partial least squares (PLS hereafter) analysis. In PLS analysis, the structural parameters and measurements are estimated in an iterative fashion, combining both simple and multiple regressions. As PLS analysis does not require a distributional assumption of the items, we implemented a PLS structural model to estimate unbiased path coefficients regarding the non-normality condition of the moderating latent effects. As a prelude to hypothesis testing, we analyzed the adequacy and equivalence of the measures and checked for common method variance (see Appendix 1).

### Structural Model Evaluation

In order to test the statistical significance of the model parameters, we applied the bootstrap technique (Efron 1979). The estimated values of the path coefficients provided empirical support for all the direct effects postulated in our model, at a significance level of .05, except for the direct moderating effect of employee empathy on the relationship between customer perceived ethicality and customer perceived quality (see Table 3).

Accordingly, results showed that customer perceived ethicality has a positive and direct effect on customer affective commitment ($b_1 = .135$; $p = .000$), customer perceived quality ($b_2 = .163$; $p = .000$), and customer

**Table 2** Sample distribution across service categories

| Service categories | *n* | % |
|---|---|---|
| Financial institutions | 503 | 23.1 |
| Clothing retail chains | 415 | 19.0 |
| Insurance companies | 402 | 18.4 |
| Internet and telephone service providers | 270 | 12.4 |
| Hypermarket and supermarket chains | 242 | 11.1 |
| Gas stations | 203 | 9.3 |
| Utility companies | 74 | 3.4 |
| Hotel chains | 70 | 3.2 |
| Total | 2179 | 100.0 |

loyalty ($b_8$ = .031; $p$ = .017), thereby providing empirical support for H1, H2, and H8, respectively. Customer perceived quality has a positive impact on both customer loyalty ($b_6$ = .512; $p$ = .000) and customer affective commitment ($b_7$ = .466; $p$ = .000), which empirically supports H6 and H7, respectively. Customer affective commitment has a positive effect on customer loyalty ($b_5$ = .387; $p$ = .000), which in turn positively impacts customer positive word-of-mouth ($b_9$ = .744; $p$ = .000), supporting H5 and H9, respectively. Despite the fact that employee empathy positively moderates the impact of customer perceived ethicality on customer affective commitment ($b_3$ = .047; $p$ = .002), we did not find empirical support for the moderating effect of employee empathy on the relationship between customer perceived ethicality and customer perceived quality ($b_4$ = .013; $p$ = .163). Therefore, H3 is empirically supported, whereas H4 is not statistically significant.

The indirect effects present in the hypothesized model were analyzed using the Sobel test (see Table 4), which is appropriate because we have a large sample ($n$ = 2179). Results indicated that the standardized indirect effect of customer perceived ethicality on customer loyalty was .052 ($p$ = .000) through customer affective commitment and .084 ($p$ = .000) through customer perceived quality. As the direct effect of customer perceived ethicality on customer loyalty was also significant, customer affective commitment and customer perceived quality are partial mediators. The standardized indirect impact of customer perceived quality on customer loyalty was .180 ($p$ = .000) through customer affective commitment. As the direct impact of customer perceived quality on customer loyalty was also significant, customer affective commitment is a partial mediator.

## Discussion and Conclusion

### Theoretical Contributions

The results of this research represent relevant contributions to the field of ethical branding, which stands at the intersection of business ethics and brand management (Fan 2005). First, there is very scarce research on the effects of customer perceived ethicality at a corporate brand level (Singh et al. 2012), even if it has been suggested that strong corporate brands must integrate ethics at their core (Morsing 2006; Rindell et al. 2011) and portray their ethical commitment during their interactions with customers (Balmer 2001; Ind 1997). Moreover, there is a major need to study the impact of customer perceived ethicality in services contexts, due to the specific characteristics of services and the singularities of corporate services brands, when compared to corporate product brands (Singh et al. 2012). Services are intangible, heterogeneous, and inseparable (Zeithaml et al. 1985). This means that customers

**Fig. 1** Hypothesized model

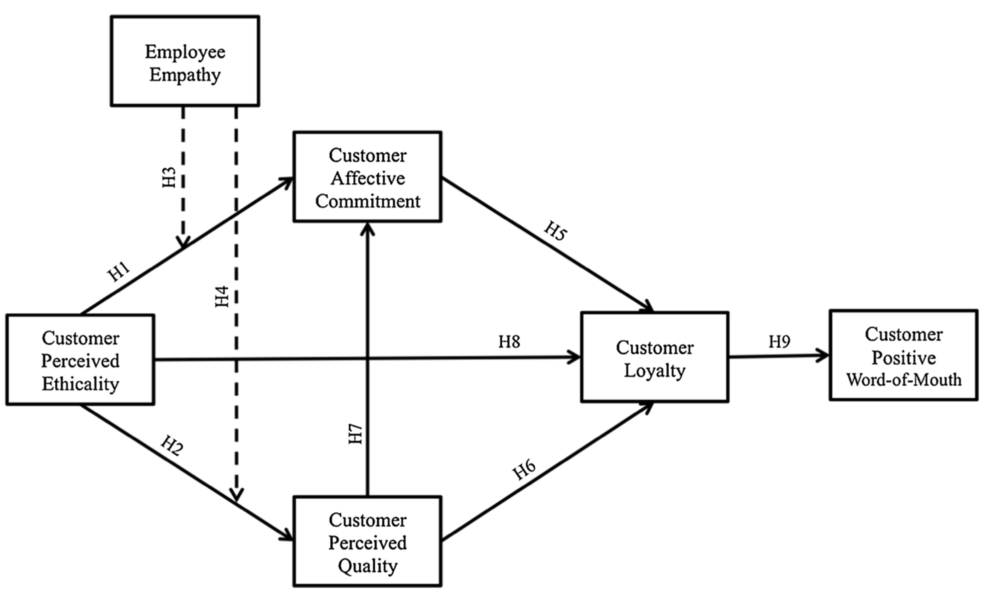

**Table 3** Path coefficient results

| | Original sample | Standard error | $p$ value | Result |
|---|---|---|---|---|
| Direct effects | | | | |
| H1: CPE → CAC | .135 | .019 | .000 | Supported |
| H2: CPE → CPQ | .163 | .017 | .000 | Supported |
| H5: CAC → CL | .387 | .020 | .000 | Supported |
| H6: CPQ → CL | .512 | .021 | .000 | Supported |
| H7: CPQ → CAC | .466 | .028 | .000 | Supported |
| H8: CPE → CL | .031 | .014 | .017 | Supported |
| H9: CL → CPWOM | .744 | .014 | .000 | Supported |
| Moderating effects | | | | |
| H3: EExCPE→ CAC | .047 | .016 | .002 | Supported |
| H4: EExCPE→ CPQ | .013 | .013 | .163 | Not supported |

**Table 4** Results of the indirect effects

| Indirect effects | Coefficient | $p$ value | Result |
|---|---|---|---|
| CPE → CAC → CL | .052 | .000 | Partial mediation |
| CPE → CPQ → CL | .084 | .000 | Partial mediation |
| CPQ → CAC → CL | .180 | .000 | Partial mediation |

can largely determine the success of the service during their interactions with the brand employees (Grönroos 2006). This is not necessarily the case in goods contexts where customers primarily interact with tangible products (Berry 1983). Thus, this article represents a significant contribution to the literature by shedding light on the under-researched area of corporate brand ethicality and, more specifically, on the effects of customer perceived ethicality in services contexts.

Second, this article contributes to the field of ethical branding by providing empirical evidence for the indirect impact of customer perceived ethicality on customer loyalty, considering the mediating variables of customer affective commitment and customer perceived quality. A key difference between corporate product brands and corporate services brands is that while the former can offer tangible goods/products with standardized levels of quality, the intangible nature of services makes it difficult for the latter to standardize service quality (Berry 1980; Booms and Bitner 1981). Hence, service quality should become a central issue for those corporate services brands aiming to create strong customer loyalty. Additionally, corporate services brands involve many more customer–brand interactions than corporate product brands (Grönroos 2006). This further reinforces the need to ensure adequate and consistent service quality across these customer–brand interactions if corporate services brands want to build customer loyalty (Iglesias et al. 2011). Moreover, the development of customer affective commitment toward the brand is more important in the services sector than in the area of goods/products, not only due to the difficulty that corporate services brands have in standardizing service quality (Berry 1980; Booms and Bitner 1981), but also due to the challenge that customers have in evaluating service quality (Athanassopoulos et al. 2001). Accordingly, when customers develop affective commitment toward the brand, they become less sensitive to weak service performance, tending to associate potential service failures with external circumstances (Story and Hess 2010).

Subsequently, this article considers two of the most relevant constructs in the services literature (i.e., customer perceived quality and customer affective commitment) for building a specific theoretical model on the effects of customer perceived ethicality on customer loyalty, and contributes to the literature by providing some additional results to the existing ones in the area of services. For example, prior research in services contexts found positive and indirect effects of ethical/CSR initiatives on customer loyalty, mediated by customer satisfaction (He and Li 2011) and customer overall valuation (García de los Salmones et al. 2005). The results of our hypothesized model extend this list of relevant mediators by empirically showing that the impact of customer perceived ethicality on customer loyalty is mediated by customer perceived quality and customer affective commitment. This highlights the need to invest in both providing a high-quality customer experience with service (Lassar et al. 1995) and developing customer affective commitment toward the brand (Singh et al. 2012) if corporate services brands aim at leveraging their investments in ethicality. This is a novel finding that also emphasizes the concrete differences of corporate services brands and how they should be managed relative to corporate product brands.

Third, this paper shows that employee empathy positively moderates the impact of customer perceived ethicality on customer affective commitment. This finding resonates with the services literature that suggests that employees are the principal stakeholders in corporate services brands (e.g., Balmer 2010; Brodie 2009; Harris and de Chernatony 2001;

McDonald et al. 2001), having the ability to either build or destroy these brands (Roper and Davies 2007) during the touch-points and interactions where they co-produce the service together with customers (Grönroos 2006). Thus, employees should embrace an empathic attitude during their interactions with customers (Wieseke et al. 2012). When customers perceive that employees are empathic, they are more likely to develop positive emotions toward the brand (Lee et al. 2011) and create affective bonds (Reynolds and Beatty 1999). The findings of our research support these views, and suggest that in services contexts employee empathy is also crucial for those corporate brands that want to leverage their investments in customer perceived ethicality. This is a relevant finding that further emphasizes the important differences that exist between corporate product brands and corporate services brands.

## Managerial Implications

The results of this research also have relevant implications for managers of brands/companies operating in the services sector. First, in order for corporate brand ethicality to be successfully built internally and communicated externally, employees must embrace an ethical commitment and behave accordingly. On one hand, this means that corporate brand strategy needs to be aligned with the human resources policies and practices (Iglesias and Saleem 2015). Thus, it becomes essential for the human resource department to implement recruitment, training, and promotion policies and practices that allow for ethicality to flourish and turn into employee behavior. Corporate services brands require employees who behave in an empathic and ethical manner during every single interaction and touch-point with customers. Therefore, managers need to revert the current tendency of hiring poorly skilled, minimum-wage service employees (Hennig-Thurau 2004), and start to both hire and train qualified employees with high levels of empathy and ethicality. On the other hand, corporate brand strategy also needs to be aligned with brand operations. This means that it is also essential for service blueprints and daily routines to reflect the ethical commitment of the corporate brand and facilitate its translation into employee behavior.

Second, corporate brands willing to successfully communicate their ethical and CSR initiatives need to move away from the traditional empty rhetoric of corporate brand and ethics/CSR reports, and instead utilize more authentic communications. In the current highly interconnected environment, customers are pushing brands to adopt authentic ethical behaviors and are also using social media postings to inform their acquaintances about the unethical practices or the inauthentic communications they detect. Hence, corporate brands should invest in building a good narrative grounded in their ethical beliefs and supported by evidence from actual employee behavior. Furthermore, corporate brands ought to also encourage their customers to engage in this narrative by sharing their personal experiences when interacting with employees that portray ethical behavior, and by posting them on the corporate brand's social media channels.

## Limitations and Future Research

Notwithstanding its theoretical contributions and managerial implications, this study also has certain limitations. First, the sample is only representative for the Spanish population, and therefore the generalizability of the findings is a concern. Customers from different cultures usually focus on different factors when evaluating services brands (Imrie 2005). For example, Spanish customers, as well as those in South America, tend to give a great deal of importance to personal relationships, and thus are closer to collectivistic cultures (e.g., China and other Eastern countries) than to individualistic ones (e.g., United States) (Liu and McClure 2001; Liu et al. 2001). Customers from more individualistic cultures are very demanding and more likely than those in collectivistic cultures to complain when they receive poor service quality (Liu and McClure 2001; Liu et al. 2001). Regarding their evaluation criteria for a services brand, customers in Western cultures take tangible cues into account more than do those in Eastern cultures, while the latter devote more attention to intangible cues (Mattila 1999). Accordingly, future research could test our model in different countries with significant cultural differences. Concretely, it would be interesting to investigate whether the moderating effect of employee empathy on the impact of customer perceived ethicality on customer affective commitment is higher in collectivistic cultures or in more individualistic ones. Moreover, it would be interesting to see how the effect of customer perceived ethicality on customer perceived quality varies across cultures.

Second, the sample is solely representative for the service categories present in this study, and thus the external validity of the findings is a concern. Despite the fact that this research encompasses a fair variety of categories, they all pertain to the business-to-consumer field. Thus, future research could also examine whether the results of this paper would remain the same in the business-to-business area. This is an interesting future research avenue because the interactions and relationships in business-to-business markets are usually more cooperative and long term oriented than is the case in business-to-consumer fields (Rackham and DeVincentis 1998; Webster and Keller 2004), which is likely to influence the customer outcome variables (e.g., customer loyalty). Accordingly, several authors have found that, in the business-to-business services context, the quality of industrial relationships (i.e., usually measured by customer satisfaction) positively influences customer loyalty (e.g., Hsu et al. 2013; Lam et al. 2004). Hence, future research in the business-to-business services context could examine to what extent customer loyalty is influenced both by the relationship quality constructs present in this study (i.e., customer affective commitment and customer perceived quality) and by the customer perceived ethicality of a brand.

Third, the data for this research were only collected by means of surveys, and therefore the mono-method bias is a concern. Accordingly, future research could triangulate this data collection technique by gaining qualitative insights into the customer perceived ethicality framework, for example through in-depth interviews or focus groups.

In addition to addressing these limitations, there are other very interesting avenues for further research. First, future studies could investigate how customers form their ethical perceptions. Identifying and understanding the antecedents of customer perceived ethicality would help managers better structure their corporate brand strategies and ethical/CSR initiatives. Second, in accord with emerging co-creative approaches and multiple stakeholder perspectives in the field of brand management (Iglesias et al. 2013), future studies could investigate the roles of the different internal and external stakeholders in forming customer ethical perceptions. Third, future research could focus on providing empirical evidence for the impact of customer perceived ethicality, not only on customer attitudes and intentions, but also on business outcomes such as market share or stock price.

## Appendix 1: Measurement Assessment, Measurement Equivalence, and Common Method Variance

### Measurement Assessment

In order to assess the adequacy of the measures, we estimated both the convergent (see Table 5) and the discriminant validity (see Table 6). On one hand, we evaluated convergent validity using the following three measures: item reliability, construct reliability, and average variance extracted (AVE hereafter). First, we evaluated item reliability based on the factor loadings of the measures on their respective constructs. All the factor loadings were higher than the threshold value of .6, thereby supporting convergent validity. Second, we evaluated construct reliability using both Cronbach's alpha coefficients and composite reliability (CR hereafter) values. All the Cronbach's alpha coefficients and CR values were higher than both the threshold value of .7 and the strictest threshold value of .8, thus supporting convergent validity. Third, we evaluated the AVE, which is a summary indicator of convergence.

**Table 5** Item descriptive and measurement assessment

| Construct | Items | Mean | SD | Loadings | Cronbach alphas | CR | AVE |
|---|---|---|---|---|---|---|---|
| CPE | CPE1 | 4.104 | 1.120 | .90 | .95 | .96 | .79 |
| | CPE2 | 3.980 | 1.091 | .89 | | | |
| | CPE3 | 4.067 | 1.056 | .90 | | | |
| | CPE4 | 3.947 | 1.087 | .87 | | | |
| | CPE5 | 4.040 | 1.031 | .88 | | | |
| | CPE6 | 4.020 | 1.066 | .91 | | | |
| CAC | CAC1 | 3.854 | 1.699 | .92 | .89 | .93 | .81 |
| | CAC2 | 4.102 | 1.642 | .91 | | | |
| | CAC3 | 3.544 | 1.775 | .88 | | | |
| CPQ | CPQ1 | 4.551 | 1.567 | .94 | .93 | .96 | .88 |
| | CPQ2 | 4.505 | 1.551 | .95 | | | |
| | CPQ3 | 4.179 | 1.585 | .92 | | | |
| CL | CL1 | 4.135 | 1.771 | .93 | .91 | .95 | .85 |
| | CL2 | 4.510 | 1.639 | .91 | | | |
| | CL3 | 4.085 | 1.711 | .93 | | | |
| CPWOM | CPWOM1 | 4.301 | 1.733 | .96 | .96 | .98 | .93 |
| | CPWOM2 | 4.234 | 1.758 | .97 | | | |
| | CPWOM3 | 4.103 | 1.778 | .96 | | | |
| EE | EE1 | 4.348 | 1.585 | .90 | .91 | .94 | .78 |
| | EE2 | 4.774 | 1.540 | .86 | | | |
| | EE3 | 4.012 | 1.644 | .86 | | | |
| | EE4 | 4.487 | 1.535 | .92 | | | |

Table 6 Discriminant validity

| | CPE | EE | CPQ | CAC | CL | CPWOM |
|---|---|---|---|---|---|---|
| CPE | .89[a] | | | | | |
| EE | .23[b] | .88 | | | | |
| CPQ | .27 | .64 | .94 | | | |
| CAC | .26 | .50 | .58 | .90 | | |
| CL | .25 | .55 | .68 | .62 | .92 | |
| CPWOM | .23 | .47 | .57 | .53 | .56 | .96 |

[a] Squared root of AVE on the diagonal

[b] Pearson correlation between constructs

Table 8 Correlation coefficients and $R^2$ between marker and constructs

| Construct | Correlation coefficient | $R^2$ |
|---|---|---|
| CPE | .063 | .004 |
| CAC | .192 | .037 |
| CPQ | .127 | .016 |
| CL | .176 | .031 |
| CPWOM | .055 | .003 |
| EE | .130 | .017 |

All the AVE values were higher than the threshold value of .5, thereby supporting convergent validity.

On the other hand, we evaluated discriminant validity comparing the square root of the AVE of each construct with all the correlations among constructs (Anderson and Gerbing 1988; Morgan et al. 2007). As all the square root values of the AVE were higher than all the correlations among constructs, discriminant validity was supported.

## Measurement Equivalence

As data were collected for multiple service categories, the measurement equivalence test needs to be conducted in order to evaluate if the constructs via their related scale items do not vary across service categories (Malhotra and Sharma 2008). Two widely recognized techniques to conduct the measurement equivalence test are generalizability theory (G-theory hereafter) (Cronbach et al. 1972) and confirmatory factor analysis (CFA hereafter) (Steenkamp and Baumgartner 1998).

Because two service categories did not include enough cases to conduct CFA (i.e., sub-sample size lower than 75), the structure invariance of the constructs across service categories was evaluated using G-theory, as suggested by Malhotra and Sharma (2008). G-theory is useful for evaluating the generalizability of the scales that measure constructs across different groups of interest (i.e., service categories). In fact, G-theory enables us to estimate the precision of the measurements in contexts where these measurements are exposed to various sources of variation. The potential sources of variation in our study are the following: service categories (i.e., a high variation would indicate that brands differ when compared to the means of the constructs), customers within service categories (i.e., high values would suggest that there is a variation among customers pertaining to each service category), items within each scale (i.e., a low variation would indicate that there is redundancy among items), interaction among items and service categories (i.e., a low variation would suggest that the pattern of responses is homogeneous among service categories and would enhance generalizability), and finally, the error and other confounding sources (i.e., a low variation would increase generalizability).

We implemented a mixed ANOVA for variance decomposition in SPSS to calculate these five sources of variation, and the generalizability coefficient (GC hereafter) to assess the equivalence across the eight service categories present in our study. Although all the sub-samples did not have the same size, Malhotra and Sharma (2008) argued that the results from G-theory are comparable in both cases, when using equal or unequal sub-sample sizes. The results presented in Table 7 indicate that all the sources of variation follow the above-described patterns, thereby enhancing generalizability. Moreover, all the GCs ranged from .84 to .97, which are quite high values according to Rentz (1987). This further supported the generalizability of the scales across the eight service categories.

Table 7 Measurement equivalence using G-theory

| Construct | Category % | Items % | Subjects within category % | Category X items % | Error plus other % | GC |
|---|---|---|---|---|---|---|
| CPE | 3.62 | .54 | 71.48 | .37 | 23.99 | .96 |
| CAC | 2.62 | 3.09 | 67.14 | .90 | 26.25 | .84 |
| CPQ | 3.03 | 1.67 | 77.30 | .09 | 17.90 | .97 |
| CL | 1.24 | 1.88 | 75.27 | .40 | 21.24 | .91 |
| CPWOM | 4.18 | .23 | 85.27 | .03 | 10.42 | .96 |
| EE | 2.42 | 3.65 | 65.65 | .81 | 27.31 | .91 |

**Table 9** CMV-adjusted estimates and test of differences between correlation coefficients

| Pearson Correlation | Unadjusted estimate coefficient[a] | CMV-Adjusted Estimates[b] | | Test of differences between correlations |
|---|---|---|---|---|
| | | Coefficient[a] | 95 % CI | *p* value |
| CPE–EE | .23 | .19 | (.15; .23) | .17 |
| CPE–CPQ | .27 | .23 | (.19; .27) | .17 |
| CPE–CAC | .26 | .22 | (.18; .26) | .17 |
| CPE–CL | .25 | .21 | (.17; .25) | .17 |
| CPE–CPWOM | .23 | .19 | (.15; .23) | .17 |
| EE–CPQ | .64 | .62 | (.59; .65) | .30 |
| EE–CAC | .50 | .47 | (.44; .50) | .22 |
| EE–CL | .55 | .52 | (.49; .55) | .19 |
| EE–CPWOM | .47 | .44 | (.41; .47) | .23 |
| CPQ–CAC | .58 | .56 | (.53; .59) | .36 |
| CPQ–CL | .68 | .66 | (.64; .68) | .25 |
| CPQ–CPWOM | .57 | .54 | (.51; .57) | .18 |
| CAC–CL | .62 | .60 | (.57; .63) | .32 |
| CAC–CPWOM | .53 | .50 | (.47; .53) | .20 |
| CL–CPWOM | .56 | .53 | (.50; .56) | .18 |

[a] All adjusted and unadjusted correlation coefficients are significant at a $p < .05$ level

[b] Adjusted estimates using $r_s = .055$

## Common Method Variance

Because all the data in our study were collected from the same respondents (i.e., customers), a potential issue of common method variance (CMV hereafter) may arise. In order to address this potential issue, we applied the marker variable technique suggested by Lindell and Whitney (2001). This technique uses a theoretically unrelated construct (i.e., the marker variable) first to determine the estimate of CMV, and then to adjust the correlations among all the constructs present in the model. We considered the marker variable of customer psychological risk, which contained three items introduced by Keh and Pang (2010). A high correlation between the marker variable and any construct would indicate the existence of CMV. Lindell and Whitney (2001) argued that the lowest of the absolute correlations between the marker variable and all the constructs ($r_s$) is the estimate of CMV. Because an unadjusted correlation is not only influenced by the true covariance but also by CMV, the $r_s$ is a conservative estimate (Lindell and Whitney 2001). For our sample, $r_s$ is .055 (see Table 8), which corresponds to an $R^2$ of .003, indicating low common source effect shared between constructs.

In order to control for CMV, we adjusted all the correlations among the constructs, using the $r_s = .055$ previously estimated. If the significant unadjusted correlation coefficients remained significant after adjusting for CMV, the results are not seriously affected by CMV. Table 9 shows that all the correlation coefficients remained significant after adjusting for CMV. This is, after correcting the correlation coefficient regarding the level of common variance shared between the marker variable and the constructs, the adjusted correlation—removing some different degrees of common variance computed with the unrelated marker variable—remained significant. Moreover, we conducted a test of differences between the adjusted and unadjusted correlations, in order to check for possible statistical differences (Steiger 1980). All coefficients were not significant, providing further support to the results obtained by applying the marker variable technique. All in all, we can conclude that the estimations of the parameters of the hypothesized model are not biased by CMV.

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